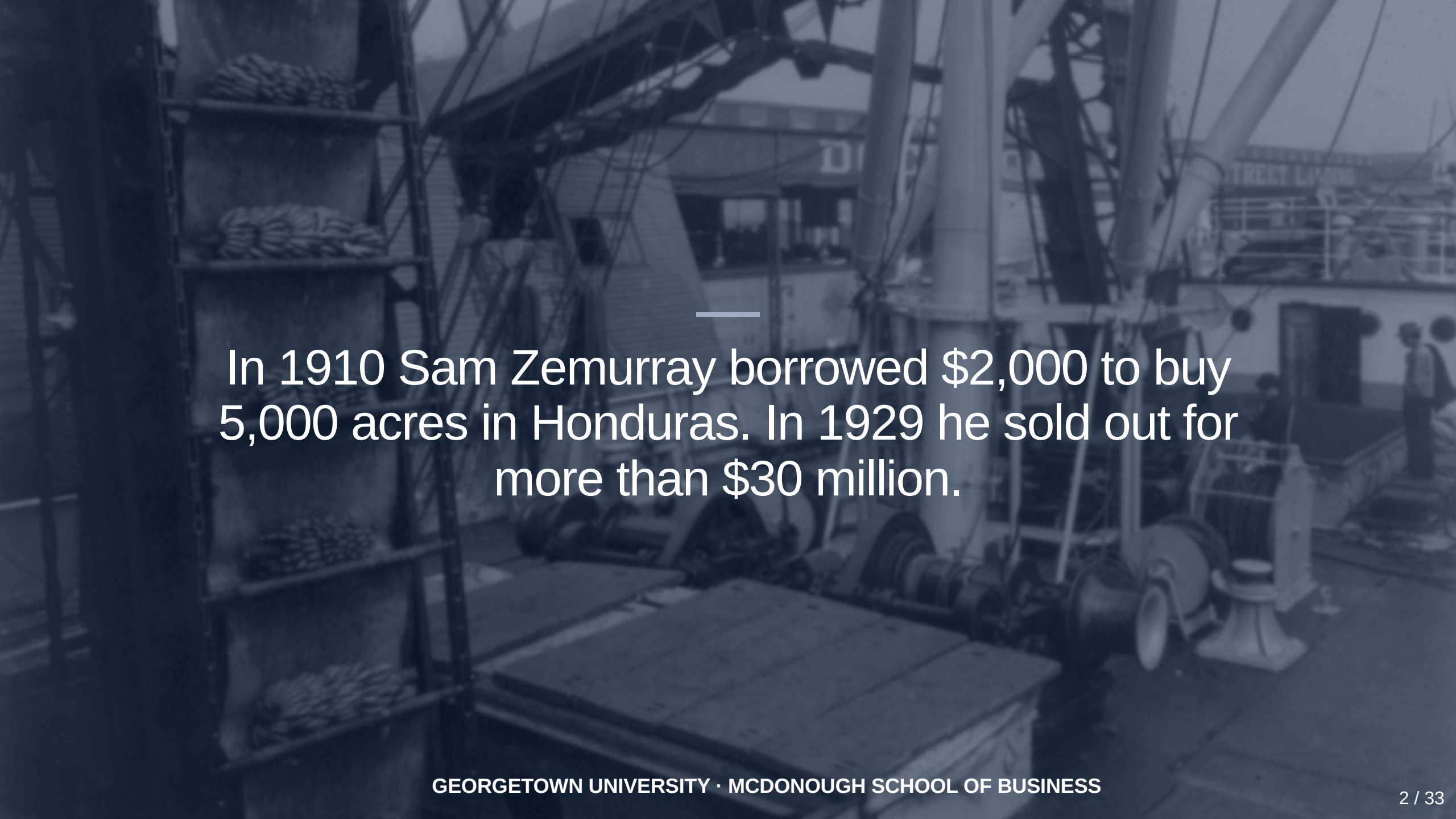
# How Sunk Investment Changes Bargaining Power

**Stephen Weymouth**
Dean’s Professor

GEORGETOWN UNIVERSITY



In 1910 Sam Zemurray borrowed $2,000 to buy 5,000 acres in Honduras. In 1929 he sold out for more than $30 million.

YOUR IB VOICE

EXPLAIN THE SALE

In 1911 Zemurray paid for a war in Honduras to protect his concessions. In 1929 he sold his company to his largest rival. What had changed about his bargaining position?

**10 minutes · Individual · Notes permitted**

# What had changed by 1929?

Zemurray had far more to lose in 1929 than in 1911.

The State Department wanted the two companies merged.

The Honduran government had sided with United Fruit.

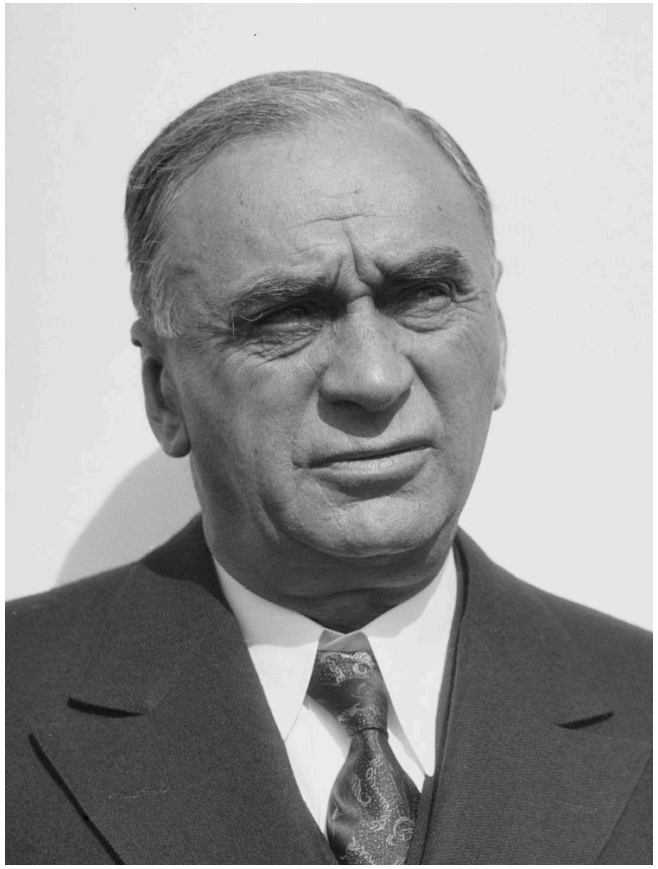
The stock market crash made a large company look safer.

United Fruit’s stock would make him one of the richest men in the country.

> Which of these would have mattered to a firm that owned nothing in Honduras?

# Why buy jungle with borrowed money?

# Zemurray bet everything on land in Honduras



Los Angeles Times, *Sam Zemurray, 1934* · UCLA Library via Wikimedia Commons, CC BY 4.0.

The peasants who sold him the Cuyamel delta saw swamp, but Zemurray saw the best banana soil in the world.

When banks stopped lending, he borrowed at close to 50 percent and bought out his cautious partner.

> Before he invested, Honduras needed Zemurray's money more than he needed Honduras.

# Concessions made the business possible

President Miguel Dávila's government exempted Cuyamel from duties on rails, engines, and machetes, and from property, labor, and export taxes.

A penny more per bunch would have priced his bananas above United Fruit's.



Willis J. Abbot, *One way of carrying bananas*, 1913 · New York Public Library via Wikimedia Commons, public domain.

> Once built, the rails and wharves were worth something only in Honduras, and only on those terms.

# What happens when the government changes?

# Washington’s debt plan would end his concessions

Honduras owed $100 million on 60 miles of railroad, and Secretary of State Philander Knox feared British warships would come to collect.

His plan seated J. P. Morgan’s officers in the Honduran customs house, ending tax breaks like Zemurray’s.



C. A. Jarrett, *Philander Knox*, 1904 · Library of Congress via Wikimedia Commons, public domain.

> The threat to Zemurray’s investment came from Washington and Wall Street.



Zemurray did not renegotiate. He paid for a war to put Manuel Bonilla back in power.

# Zemurray changed the government, not the deal



Harris & Ewing, *Manuel Bonilla*, 1911 · Library of Congress via Wikimedia Commons, public domain.

He bought the *Hornet*, a former U.S. Navy ship, through a front man and sent Bonilla and a mercenary army to Honduras.

After the rebels took the port of La Ceiba, Honduras's congress rejected the treaty for Morgan's loan 32 to 4, and Knox accepted Bonilla.

> Washington wanted the debt settled and did not mind who ran Honduras.

# The new government wrote the terms he wanted

**25 years**

of concessions was what Bonilla's congress granted Zemurray in 1912

He could import anything duty-free and build any railroad, and he got a $500,000 loan and 24,700 more acres.

In time Hondurans looked to him for water, health, and security, which a state normally supplies.

Zemurray could not move his plantations, so he replaced the government. Why could a banana company do that in Honduras in 1911 when Apple could not do it in China in 2016?

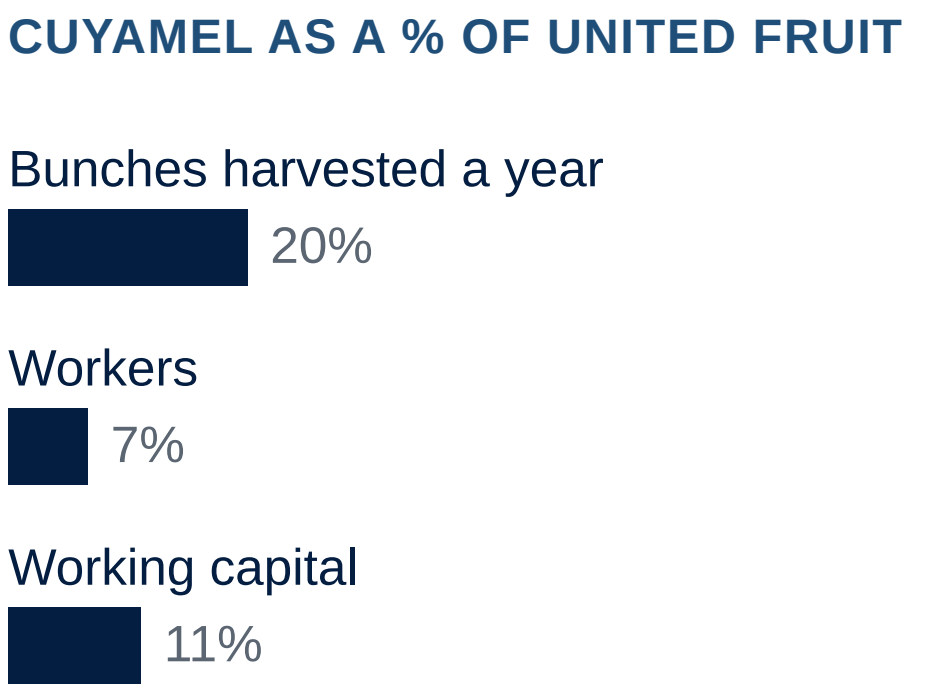
> What did Zemurray have that Apple lacked, and what did Honduras lack that China had?

# Why did the winner sell?

# Cuyamel was the better and the smaller business

Zemurray lived on his plantations and changed how bananas were grown, and United Fruit’s best men quit to join him.

In 1925 he turned down United Fruit’s offer to buy him out.




Cohen, *The Fish That Ate the Whale* (2012), ch. 11; percentages computed from Cohen’s figures.

> A rival too small to fight head on and unwilling to sell had to be squeezed another way.

# United Fruit squeezed him through the state



Harris & Ewing, *Pres. Andino of Honduras*, 1936 · Library of Congress via Wikimedia Commons, public domain.

Tiburcio Carías, a Honduran strongman close to United Fruit, blocked a permit to bridge the river his bananas had to cross.

United Fruit bought the headwaters of the rivers that watered his plantations.

> Every asset he could not move gave anyone with a permit, a river, or a president a way to squeeze him.



“Success limited his options and made him vulnerable.”

# Zemurray sold while he still could set the price

**$30 million**

was the value of the United Fruit stock Zemurray received for Cuyamel in 1929

The deal was a merger, so none of his workers were to be fired and no plantation closed.

In return he agreed to retire from the banana trade.

Was it the plantations he could not move, or the fortune he could lose, that made Zemurray sell in 1929?

> What would he have risked by fighting on for another ten years?

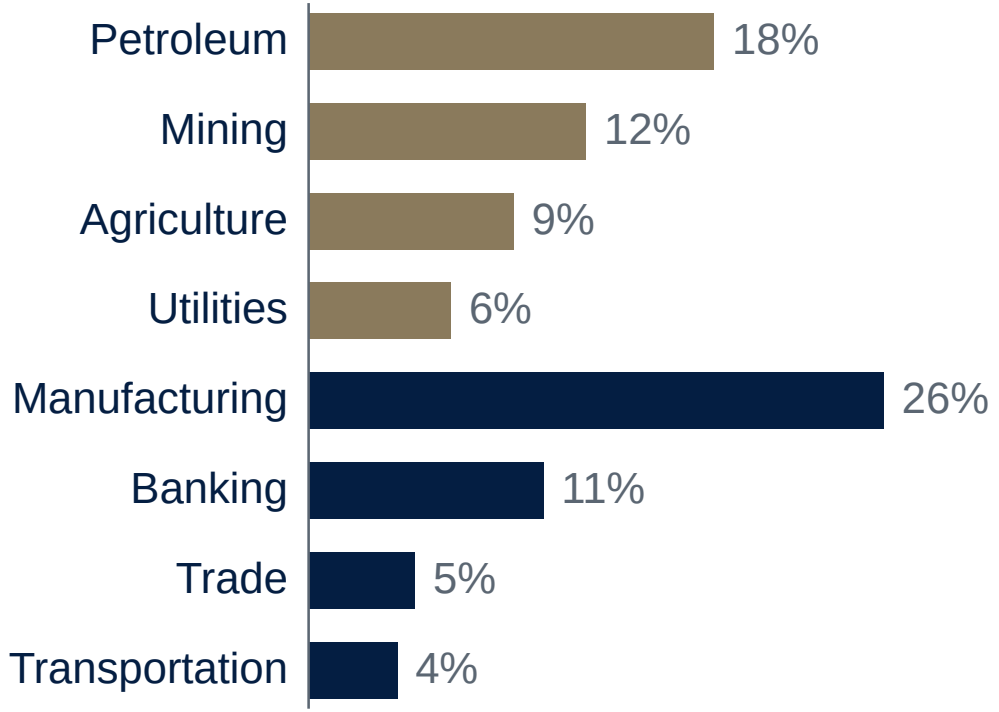
# When does sunk investment weaken a firm?

# Governments take what cannot leave

Oil, mines, plantations, and utilities made up nearly half of all expropriations from 1960 to 2006.

Each is tied to one place and useful for little else.

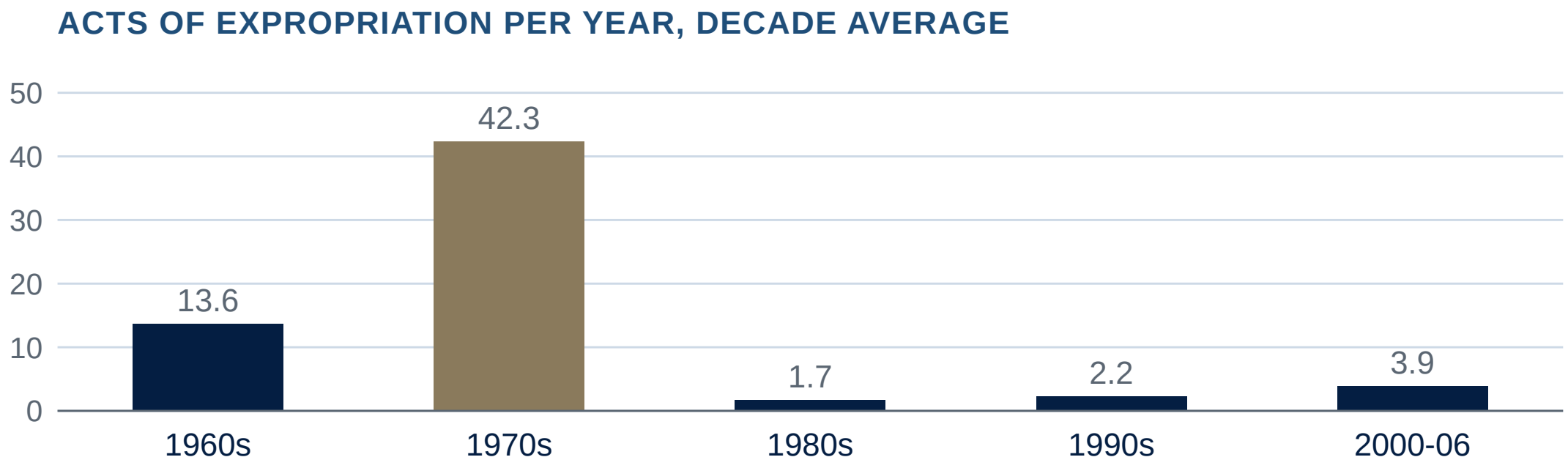
**SHARE OF 625 ACTS, 1960 TO 2006**




Hajzler (2010), Table 2; shares rebuilt from the table's decade percentages.

> An investment is *sunk* when it would be worth much less in any other place or use.

# Expropriations peaked in the 1970s




Chris Hajzler, *Expropriation of Foreign Direct Investments: Sectoral Patterns from 1993 to 2006*, 2010, Table 2, drawing on Kobrin (1984) and Minor (1994).

In the 1970s many governments, several of them newly independent, took over oil fields, mines, and plantations that foreign firms had built long before.

> In an *obsolescing bargain*, a host government gains bargaining power once a foreign firm's investment is sunk, and can then change the terms.

# What protects a sunk investment today?

# Treaties turned a concession into a state’s promise

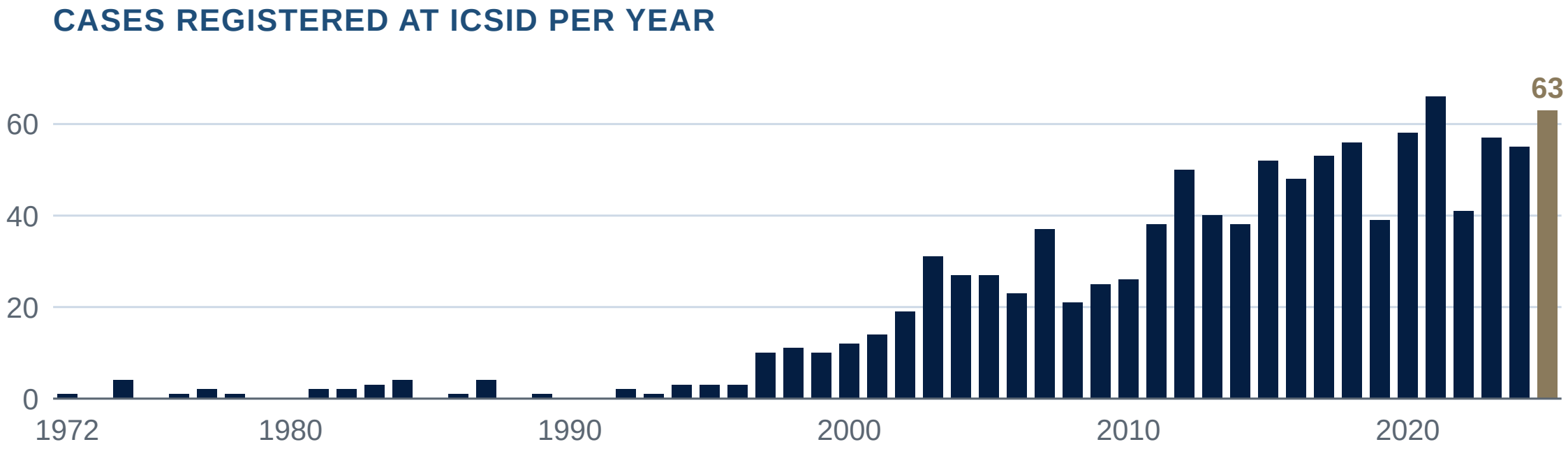
**2,843**

bilateral investment treaties had been signed worldwide by the end of 2024

In each treaty two governments promise the other’s investors fair treatment and compensation for expropriation.

The promise binds the state, so a new government inherits it along with the old one’s debts.

# ISDS lets investors sue states outside their courts

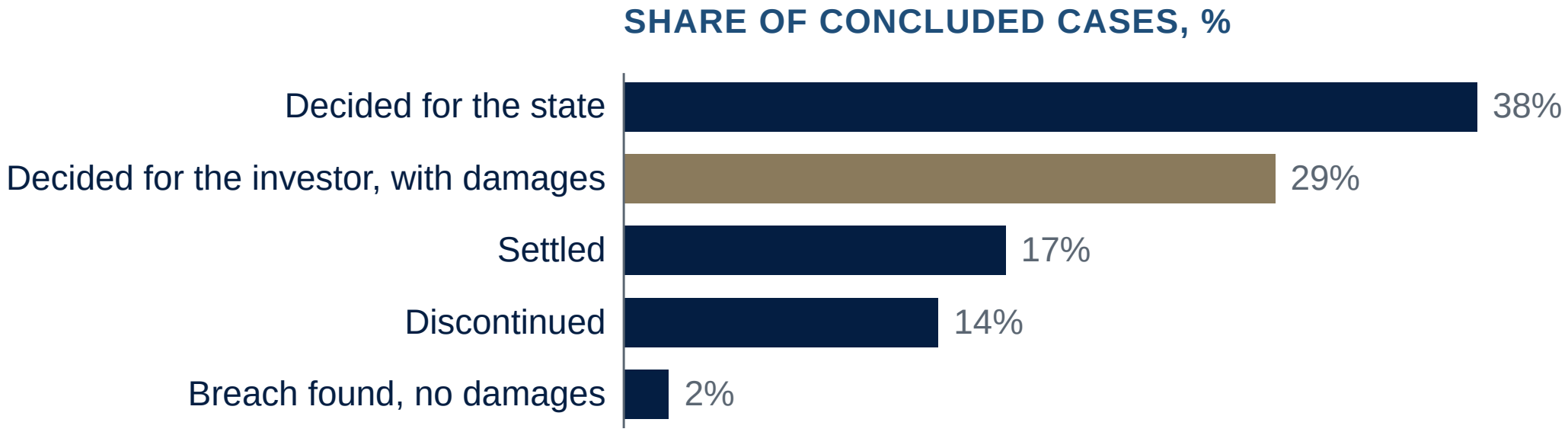



ICSID, *The ICSID Caseload: Statistics, Issue 2026-1*, Chart 3.

The treaties of the 1990s became cases in the 2000s, and ICSID's 159 member states must enforce its awards like their own courts' final judgments.

> In *investor-state dispute settlement* (ISDS), a foreign investor sues the host state before an arbitral tribunal outside that state's courts.

# States win more cases than investors do




UNCTAD, *Investor-State Dispute Settlement Cases: Facts and Figures 2024*, IIA Issues Note No. 2, 2025.

Winning investors recover about a quarter of what they claim, so the treaty's force is the cost it adds to changing the terms.

> ISDS does not stop a government from changing the deal, but it makes the government pay when a tribunal finds the change unlawful.



In 1910 Zemurray’s war began on Roatán. In 2022 a U.S. company building a charter city there sued Honduras.

# Honduras left ICSID and then came back



Office of the President (Taiwan), *Xiomara Castro*, 2022 · Flickr via Wikimedia Commons, CC BY 2.0.

Próspera claimed $10.8 billion, about a third of Honduras's 2022 GDP, and President Xiomara Castro's government left ICSID in August 2024.

Her successor, Nasry Asfura, signed the ICSID Convention again in 2026, and it took effect in August.

> Leaving changed the rules for investors already there, and returning suggests it cost Honduras new ones.

A government can leave a treaty, as Honduras left ICSID and the European Union left the Energy Charter Treaty in 2025. Does ISDS solve the obsolescing bargain, or does it move the bargain to the treaty?

> What keeps a government in a treaty once the investors it wanted have arrived?

# Where is your industry’s sunk investment?

# Find your industry’s sunk investment

1. **Select** one investment in your team’s network that would be costly to move, such as a plant, a data center, a license, or trained staff.
2. **Diagnose** who could change its terms once it is built, and what they would gain.
3. **Recommend** one protection to arrange before investing, such as a treaty, a local partner, or insurance.
4. **Defend** whether the firm’s bargaining power there is rising or falling.

**12 minutes · Industry teams · Diagrams permitted**

# Which team’s investment is most exposed, and which protection would you trust?

> Would any of these protections have saved Zemurray’s concessions in 1911?

# How does sunk investment change bargaining power?

Before he invested, Honduras granted Zemurray concessions to get his money.

Once his land and rails were in place, whoever held the government could change the terms.

He could change a government, but the more he owned, the more ways he could be hurt.

Today treaties and ISDS make a government pay for changing the terms, though it can still leave the treaty.

> On Wednesday, October 21, we ask what happens when a state depends on a firm’s technology.